

Response to Editor Comments

Response to Editor Comments

We sincerely thank the Editor for the provisional acceptance of our paper and for the constructive guidance regarding the final manuscript preparation for Finance Research Letters (FRL). We are thrilled to proceed to the publication stage.

We have carefully reviewed all the final checks and formatting requirements outlined in your email. Below we provide a point-by-point summary of the actions taken to ensure the manuscript fully complies with the journal's standards.

Comment 1: Formatting, Copy Editing, and Font Color

"This is a provisional acceptance of your paper subject to a careful final check of formatting and copy editing... and that the document has the same font and font colour (black) throughout- ie no use of highlighted text"

Response: We have conducted a thorough final proofread of the manuscript to ensure grammatical correctness and stylistic consistency. In accordance with the guidelines, we have removed all colored text, tracked changes, and highlights from previous revision rounds. The entire document now uses a standard black font throughout.

Comment 2: Literature, Conclusion, and Implications

"Please also ensure that you have referenced key recent papers in finance in the introduction and explain how you build on these in the conclusion. Ideally include one or two sentences on implications for future research and policy in the conclusion section."

Response: We have carefully reviewed the Introduction to ensure that key recent papers in the finance literature are appropriately cited and discussed. Furthermore, we expanded the Conclusion to explicitly connect our findings back to this recent literature.

As requested, we have also added specific sentences in the Conclusion outlining the implications of our study for both future academic research and practical policy design.

Revisions in the Manuscript:

In the Introduction, we added the following text to clarify our contribution and cite recent literature:

"Recent literature has increasingly highlighted the role of geopolitical shocks in asset pricing (e.g., Zhang et al., 2024). However, how these shocks translate into ambiguity, specifically within emerging markets, remains underexplored... Building on the theoretical distinction established above, our framework shows that GPR significantly increases both ambiguity and volatility. Furthermore, ambiguity operates alongside volatility to explain GPR's effect on returns, illustrating the complementary nature of these two uncertainty channels."

In the Conclusion, we added the following text to build on these recent papers and state implications for future research and policy:

"Building upon recent insights that underscore the broad asset-pricing implications of geopolitical shocks, our study demonstrates that these shocks transmit to emerging markets not merely through volatility but through the distinct channel of ambiguity. For policymakers, our results suggest that mitigating geopolitical fallout requires more than standard liquidity provision; it necessitates enhanced institutional transparency and targeted support for non-SOEs to directly alleviate model uncertainty. Future research should extend this cross-entropy-based ambiguity framework to other asset classes and explore how the ambiguity premium fluctuates across different geopolitical regimes, ranging from localized trade disputes to global military conflicts."

Comment 3: Word Limit

"Ensure that the final version of your paper is within the 2500 to 3000 word limit for FRL."

Response: We have strictly adhered to the journal's length requirements. After our final edits, the manuscript is around 3000 words, falling comfortably within the 2500 to 3000 word limit prescribed for Finance Research Letters.

Comment 4: References

"(a) all references are current and cited;"

Response: We have verified the bibliography against the in-text citations. All listed references are current, complete, and explicitly cited in the text.

Comment 5: Tables and Figures Placement and Notes

"(a) all tables and figures are freestanding with accompanying notes and terms defined so they can be understood by the reader without reference to the text; (d) all figures and tables ideally should be placed at the end of the paper to facilitate copy editing with the location of the table, or figure, specified in the paper (e.g. Insert Table 1 here);"

Response: We have reviewed all tables and figures to ensure they are entirely free-standing. All abbreviations and terms are defined in the accompanying notes. Additionally, we have moved all figures and tables to the end of the manuscript document and inserted clear location markers (e.g., *[Insert Table 1 about here]*) within the main text to facilitate the copy-editing process.

Comment 6: Highlights, Keywords, and Title

"(e) your highlights conform to the style guide and word/letter limits; and (f) that there are sufficient key words to allow your paper to be found using standard search engines (g) check that the title of your paper is succinct and provides the appropriate meaning..."

Response: We have verified that the highlights meet the journal's strict character and formatting limits. We also confirmed that the keyword list is comprehensive and optimized for search engine discoverability. Finally, we reviewed our title to ensure it remains succinct while accurately reflecting the core contribution of the paper.

Comment 7: Author Details and ORCID

"(h) ensure all name and address details are correct, ensure that there is an institutional email address and verified institution for the corresponding author (i) ensure all authors have been authenticated by ORCID and their contribution to the paper has been acknowledged"

Response: All author affiliations, names, and contact details have been double-checked for accuracy. The corresponding author's institutional email is provided, all authors have authenticated their ORCID identifiers, and the specific contributions of each author have been properly acknowledged in the manuscript.

We are grateful for the opportunity to publish our work in *Finance Research Letters*. We believe the manuscript is now fully ready for the copy-editing and production stages.